California - Claims Handling Regulations Summary

Cardinal Ridge Insurance Group | Document CRIG-REG-CA | Effective 2026-01-01 | Version 3.1

FICTIONAL DOCUMENT - created for a software demonstration. Cardinal Ridge Insurance Group does not exist. Legal and regulatory content is simplified and is NOT legal advice.

1. Legal source (simplified)

California Fair Claims Settlement Practices Regulations (10 CCR 2695). This summary uses simplified, fictionalised figures for demonstration. Always confirm with Compliance.

2. Claim-handling clocks

Milestone	California standard	Clock type
Acknowledge the claim	15 days	calendar
Accept or deny the claim	40 days after proof of loss / notice	calendar
Pay an accepted claim	30 days	calendar

A missed clock is a BREACH: the claim becomes NON-COMPLIANT, late-payment interest may accrue and the file must be escalated to Compliance.

3. State-specific notes

Acknowledge within 15 calendar days; accept or deny within 40 calendar days of proof of claim; pay within 30 calendar days of acceptance. A written denial must state the reasons and refer the claimant to the Department of Insurance.

4. Required actions when a clock is at risk

• Send a written status / extension letter explaining what is still needed.

• Escalate to the Claims Manager when fewer than 3 days remain.

• Record the reason for any delay in the claim notes; accrue interest in the reserve where applicable.

• A pending SIU investigation does NOT pause the state clock.